2.4 Market Failures, Taxes, and Subsidies

Video: Market Failures, Taxes, and Subsidies (Crash Course Economics)

The Free Rider Problem

In the extra credit example, each student had a personal incentive that went against the _____ of the group.

_____ are people who benefit without paying.

Cities make sure fire departments get funded by requiring money in the form of _____.

Public Goods

When markets alone fail to provide enough of something society needs, it is called _____.

Characteristic of a Public Good	Meaning	Example
	You cannot exclude people who don't pay	
	One person's use does not ruin it for others	

The Tragedy of the Commons

The _____ is the idea that common goods everyone has access to are often misused and exploited.

Example: _____. If one fisherman waits for fish to spawn, another will take them instead.

The subfield of economics that works on these problems is called _____.

Externalities

Externalities are external costs or benefits that affect other people or society as a whole.

Type	Effect on Others	Example

	Other people are made worse off	A TV factory that pollutes a _____
	Other people are made better off	

How Governments Respond

Approach	How It Works	Example
	Rules set by government decree	Laws limiting pollution; compulsory education
	Change prices and incentives with taxes and subsidies	Taxing cigarettes; grants for college

Economists tend to prefer market-based policies. With a cigarette tax, the government earns tax revenue instead of spending money on enforcement.

In _____, the government issues pollution permits that companies can buy or sell.

A U.S. cap and trade program to reduce acid rain cut _____ emissions.

Working Together

Global problems are hard to solve because countries cannot prevent other countries from polluting. The big question is how markets and government can work together.

Think About It

Name one positive or negative externality you see in your own community. Should anything be done about it? _____